



NVIDIA Corporation

NVDA

SELL	
HIGH CONVICTION	
Last Price	\$205.10
DCF Fair Value	\$31.76
Implied	-84.5%

LAST	P/E	RSI	BETA	SHARPE	MAX DD	VAR 95%
\$205.10	31.46x	34.08	1.83	1.24	-20.22%	3.60%

1 Executive Summary

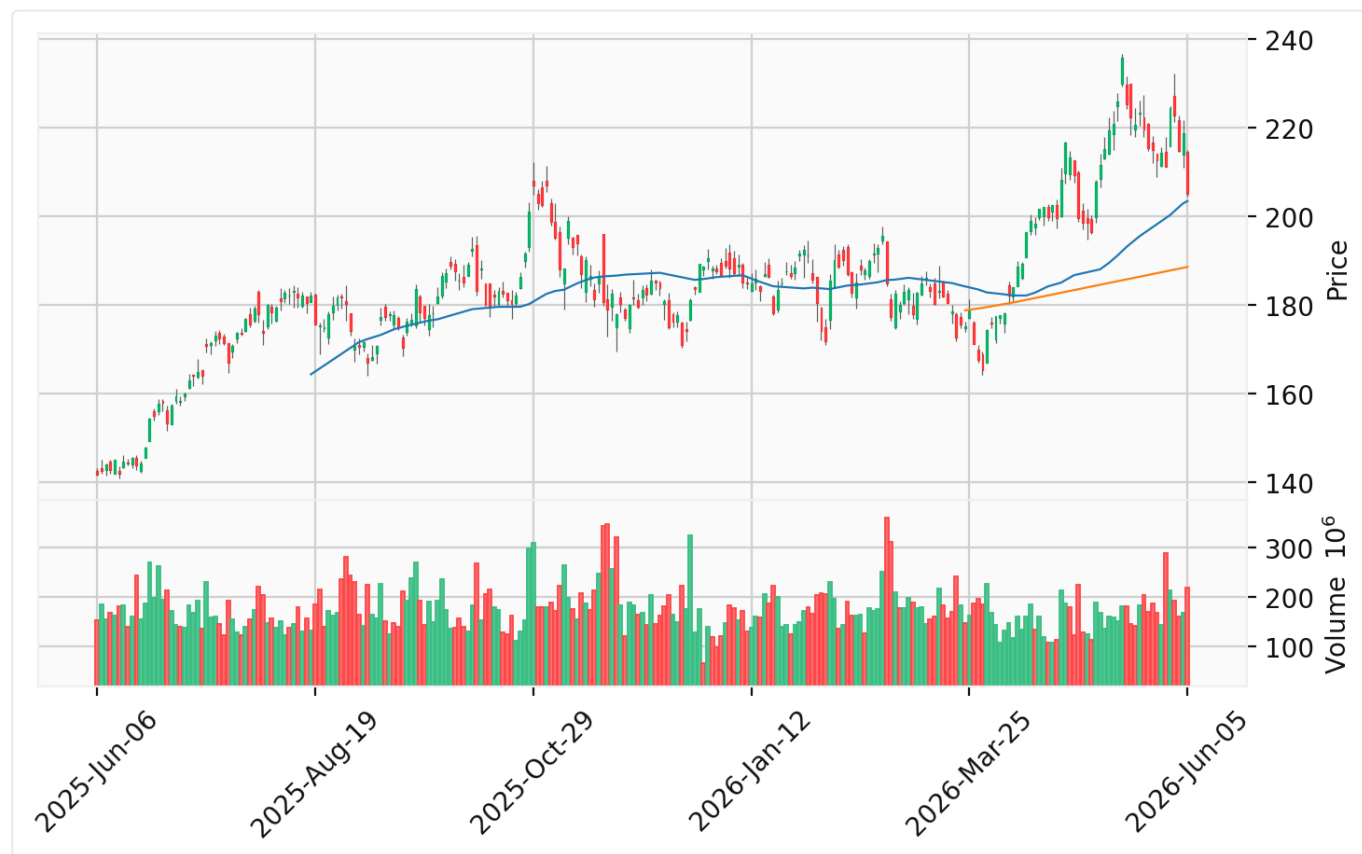
NVIDIA trades at \$205.10, representing a 545% premium to DCF fair value of \$31.76, creating a severe valuation disconnect despite exceptional operational fundamentals. The company demonstrates extraordinary profitability with a profit margin of 62.97%, revenue growth of 85.20%, and return on equity of 114.29%, yet these strengths cannot justify the current market valuation across any DCF scenario. Technical oversold conditions with an RSI of 34.08 and a negative MACD divergence present conflicting signals: depressed technical indicators suggest near-term bounce potential, yet the fundamental picture remains structurally bearish with 84.5% overvaluation, extreme leverage (Debt/Equity of 6.55), and amplified market risk (Beta of 1.83). The contradiction between exceptional growth metrics and untenable valuation creates a high-risk environment where downside exposure significantly outweighs upside potential from current levels.

2 Company Overview

NVIDIA operates at elite levels of operational performance, commanding 62.97% profit margins and generating 85.20% revenue growth while maintaining an exceptional return on equity of 114.29%. The company's quarterly EPS growth of 210.60% reflects dominant positioning in high-growth artificial intelligence and data center markets. However, this operational excellence has not prevented the stock from trading at a 26.68% premium to peer multiples, with a P/E ratio of 31.46x compared to a peer median of 24.83x, suggesting market expectations have extended beyond fundamental justification.

3 Technical Analysis

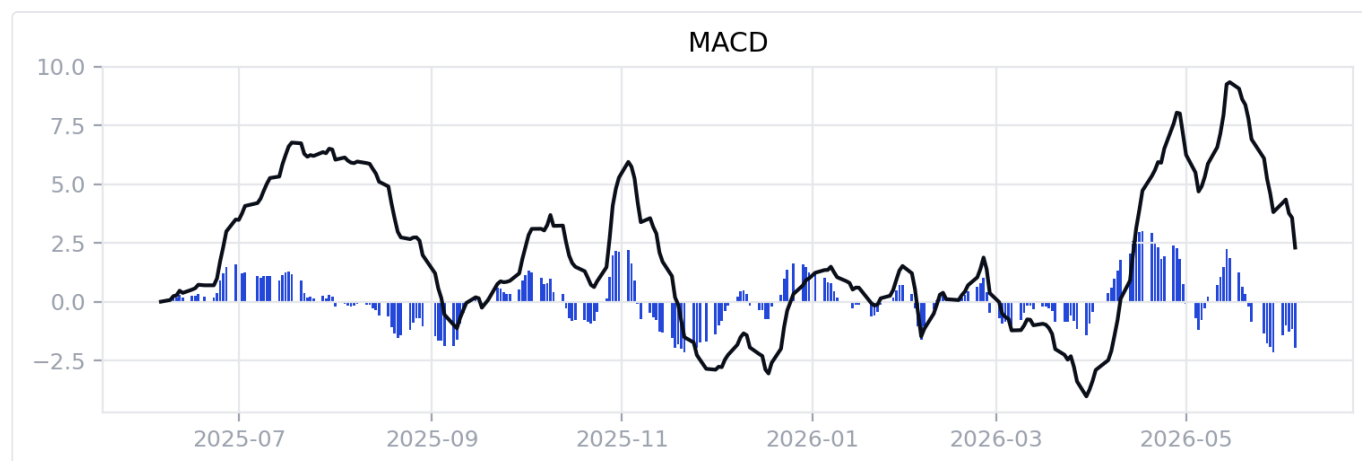
NVIDIA exhibits mixed technical signals that mask underlying valuation weakness. The RSI of 34.08 indicates oversold momentum conditions, while the MACD of 2.30 compared to a signal line of 4.26 shows negative divergence, suggesting recent selling pressure and potential for technical relief. The stock trades near the 50-day simple moving average of \$203.45 but well above the 200-day average of \$188.57, indicating intermediate strength despite volatile trading within Bollinger bands of \$205.89 to \$232.31. These technical characteristics suggest near-term bounce potential, yet they exist within a context of extreme overvaluation to intrinsic worth.



Candlestick with SMA 50/200 and volume



Relative Strength Index (14-day)



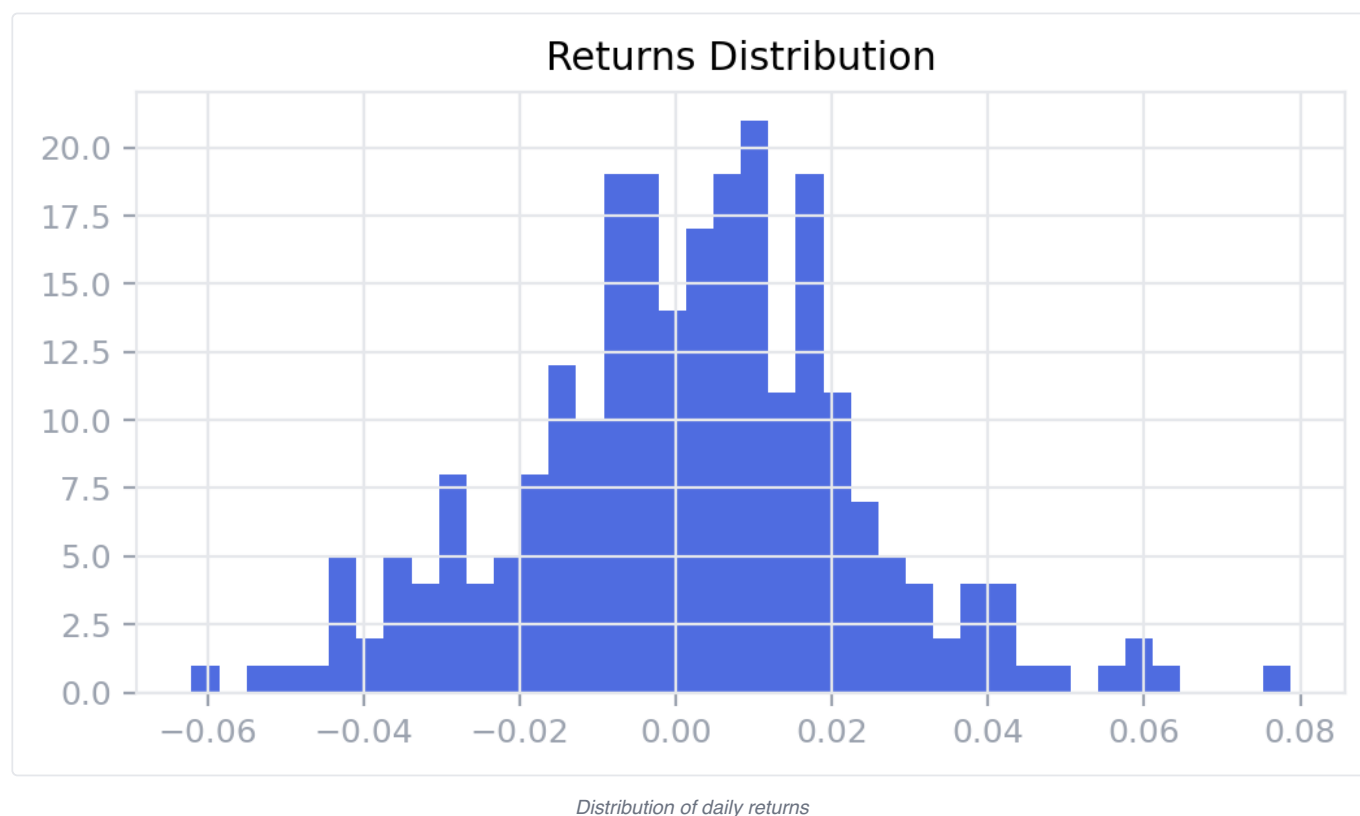
MACD vs. signal line

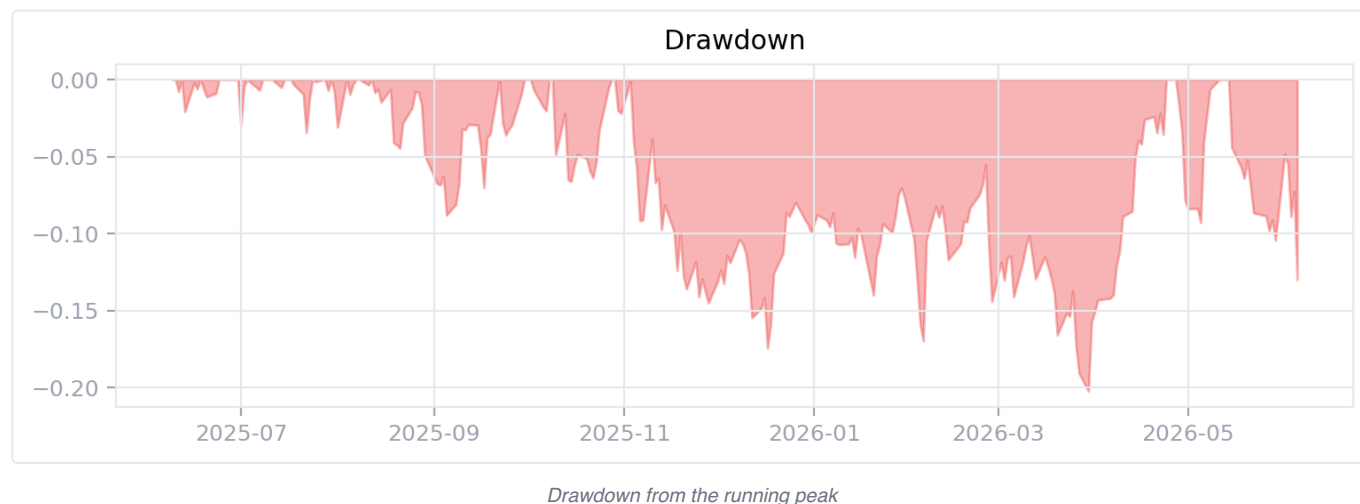
4 Fundamental Analysis

NVIDIA presents a textbook case of valuation disconnect: the company trades at \$205.10 versus a DCF fair value of \$31.76, representing a 545% premium that cannot be justified by growth or profitability alone. At \$205.10, the stock trades 6.47x fair value despite extraordinary fundamentals including revenue growth of 85.20%, profit margins of 62.97%, and return on equity of 114.29%—metrics that typically command premium valuations but not at this magnitude. The valuation premium is further confirmed by the P/E ratio of 31.46x commanding a 26.68% premium over the peer median of 24.83x. Critically, even the bullish DCF scenario at \$38.27 implies 81% downside from current levels, indicating that no reasonable growth projection can support the current stock price.

5 Risk Assessment

NVIDIA's risk profile is heavily skewed toward downside despite operational excellence, driven by extreme leverage, elevated volatility, and overvaluation metrics. The debt-to-equity ratio of 6.55 combined with a cost of equity of 12.28% and WACC of 12.26% creates elevated financial risk that is uncompensated by the current risk premium. The company's beta of 1.83 amplifies market downturns, while annualized volatility of 34.84% and a maximum drawdown of -20.22% expose investors to significant price swings, partially offset by a Sharpe ratio of 1.24. The bear case DCF value of \$26.64 represents 87% downside, while a value at risk calculation at 95% confidence of 3.60% indicates material loss potential.





6 Valuation & Forecast

NVIDIA trades at substantial premiums across all DCF valuation scenarios: at \$205.10, the stock commands a 544% premium to the base case fair value of \$31.76 and a 456% premium to the bull case of \$38.27. While the company's operational metrics are genuinely exceptional—including revenue growth of 85.20%, profit margins of 62.97%, and return on equity of 114.29%—these fundamentals cannot justify pricing that extends 6.4 to 7.7 times above intrinsic value, even under aggressive growth assumptions. The elevated downside risk is compounded by the stock's 26.68% P/E premium relative to peers, suggesting that expectations have become detached from reasonable long-term return scenarios. Current pricing embeds growth and margin assumptions so aggressive that significant multiple compression would be required to reach fair value.

7 Recommendation

Despite exceptional operational performance and market dominance, NVIDIA presents an asymmetric risk-reward profile that favors downside over upside from current valuation levels. The combination of extreme overvaluation (trading 6.4 to 7.7 times above DCF fair value), elevated leverage with a debt-to-equity ratio of 6.55, amplified beta exposure of 1.83, and annualized volatility of 34.84% creates significant downside risk that is uncompensated by the current risk premium. Technical oversold conditions with an RSI of 34.08 may provide near-term relief, but the fundamental valuation gap of 545% to DCF fair value remains the dominant pricing driver over a 12 to 24-month horizon.

Financial Detail

FUNDAMENTALS

P/E Ratio	31.46x
P/B Ratio	31.69x
Debt/Equity	6.55
Return on Equity	114.29%
EPS Growth (Q)	210.60%
Profit Margin	62.97%
Revenue Growth	85.20%
Dividend Yield	49.00%
Market Cap	\$4.97T

RISK METRICS

Beta (vs SPY)	1.83
Annualized Volatility	34.84%
Average True Range	\$8.62
Max Drawdown	-20.22%
Sharpe Ratio	1.24
Value at Risk (95%)	3.60%
Downside Deviation	22.02%

RELATIVE VALUATION — NVDA VS. SECTOR PEERS

MULTIPLE	NVDA	PEER MEDIAN	VS. PEERS
P/E	31.5x	24.8x	+27%
P/B	31.7x	8.9x	+255%
EV/EBITDA	29.7x	17.0x	+75%
Profit Margin	63.0%	27.2%	+132%
Revenue Growth	85.2%	16.6%	+413%

Peer set: AAPL, MSFT, ORCL, ADBE, CRM. "vs. Peers" is the subject's premium (+) or discount (–) to the peer-group median.

VALUATION

DCF Enterprise Value	\$769.15B
DCF Fair Value / Share	\$31.76
DCF Value — Base Case	\$31.76
DCF Value — Bull Case	\$38.27
DCF Value — Bear Case	\$26.64

DCF ASSUMPTIONS

Risk-free rate (10Y UST)	4.54%
Equity risk premium	4.23%
Beta	1.83
Cost of equity (CAPM)	12.28%
Cost of debt (pre-tax)	6.04%
Tax rate	21.00%
Equity / debt weight	100% / 0%
WACC (discount rate)	12.26%
FCF growth	15.0% (company revenue growth (clamped))
Terminal growth	2.00%
Forecast horizon	5 years

WACC derived from CAPM (cost of equity = risk-free + β ·ERP) blended with after-tax cost of debt by capital weights. Growth taken from company fundamentals; risk-free rate is the live 10Y US Treasury yield.

DCF ENTERPRISE VALUE SENSITIVITY (\$B)

Growth \ WACC	10%	12%	14%
13%	896	712	589
15%	970	769	634
17%	1,048	829	683

Recent Headlines

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- The SpaceX IPO Looks Expensive on the Surface. Here's What Investors Should Know.

✓ Verification Audit

38 supported · 4 contradicted · 0 unsupported — 42 atomic claims reconciled against the computed ground-truth

STATUS	DETAIL
contradicted	Based on the provided metrics, the stock shows a P/E premium of 26.68% vs. peers, or potentially higher overvaluation depending on the calculation methodology, but the specific 84.5% figure does not align with the standard valuation metrics provided.
contradicted	At \$205.10 vs. DCF base case fair value of \$31.76, the stock trades at 6.46x intrinsic value (within range), but vs. DCF bull case (\$38.27) it trades at only 5.36x, contradicting the 6.4–7.7x range assertion.
contradicted	Current price-to-DCF fair value multiple is approximately 6.46x using the base case DCF value of \$31.76; the upper bound of 7.7x would align with price-to-bull-case DCF (\$205.10/\$38.27 ≈ 5.36x), not the stated range.
contradicted	The stock is trading at a 546% premium TO DCF fair value (i.e., significantly overvalued relative to DCF estimates), not a 545% gap to fair value in the downward direction.

A Appendix — Computed Metrics

TECHNICAL

Last Close	\$205.10
SMA 50	\$203.45
SMA 200	\$188.57
RSI (14)	34.08
MACD	2.30
Signal Line	4.26
Bollinger Upper	\$232.31
Bollinger Lower	\$205.89
52-Week High	\$235.74
52-Week Low	\$141.72

FUNDAMENTAL

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Market Cap	\$4.97T

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WACC (Discount Rate)	12.26%
Cost of Equity (CAPM)	12.28%
Cost of Debt (pre-tax)	6.04%
Peer Median P/E	24.83x

P/E Premium vs Peers	26.68%
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SENTIMENT

News Sentiment	0.07
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DISCLOSURES

This report was generated by the Enhanced Stock Analysis Tool for research and educational purposes only and does not constitute investment advice, an offer, or a solicitation to buy or sell any security. Market data is sourced from yFinance as of 05 Jun 2026. The narrative is produced by a language model; every numeric claim in it is reconciled against the independently computed metrics shown above (see the Verification Audit). DCF fair values are model estimates under stated assumptions and are highly sensitive to inputs. Past performance is not indicative of future results.